The British had consolidated the power in India and thereby attracted large number of foreign entrepreneurs and capital particularly from England. Foreign capitalists were attracted to Indian industry as it held the prospect of high profit. Labour was extremely cheap. Raw materials were cheaply available. India and its neighbours provided a ready market.

Confederation of Indian Industry (CII)

Confederation of Indian Industry

The Confederation of Indian Industry is a business association in India. CII is a non-government, not-for-profit, industry-led and industry-managed organisation. It was founded in 1985. It has over 9,000 members form the private as well as public sectors, including small and medium enterprises (SME) and multinational corporations (MNCs).

Industrial Growth in India

To realise the dream of development of industries, Indian Government adopted certain industrial policies and Five-Year Plans. One of the most important innovations in the industrial field after Independence has been the introduction of the Five-Year Plans and the direct participation in industry by the government as expressed in the Industrial Policy Resolution of 1948. This Resolution delineated the role of the state in the industrial development both as an entrepreneur and as an authority. As per the Industrial Policy Resolution 1956, industries were classified into three categories:

Schedule A: Only the Government can handle these industries. Some of these are atomic energy, electrical, iron and steel and others.

Schedule B: These comprise road and sea transportation, machine tools, aluminium, chemicals including plastics and fertilisers, ferro alloys and certain types of mining.

Schedule C: Under this category, the remaining industries and left to the private sector.

Classification of Industries

- On the basis of raw materials used, industries can be classified into agro-based and mineral-based. According to their role it can be classified into basic and key industries.
- On the basis of ownership it can be classified into public sector, private sector, joint sector and co-operative sector.

Phases of Industrial development in India

a. Industrial development during 1950s to1965

During this phase, a majority of consumer goods were produced in India. The industrial sector was underdeveloped with weak infrastructure. Technical skills were in short supply. The first three Five-Year Plans were very important because their aim was to build a strong industrial base in independent India. These plans mostly focused on the development of capital goods sector. As a result, this phase witnessed a strong acceleration in the growth rate of production.

b. Industrial development during 1965–1980

As the first three Five-Year Plans mostly focused on the development of the capital goods sector, the consumer goods sector was neglected. The consumer goods sector is the backbone of rural economy. As the result, there was a fall in the growth rate of industrial production. So this period is marked as the period of structural retrogression.

c. Industrial Development during 1980s till 1991

The period of the 1980s can be considered as the period of the industrial recovery. This period witnessed quite a healthy industrial growth.

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